

Table 24.2 General Statistics

Description	Up Breakout	Down Breakout
Number found	340	393
Reversal (R), continuation (C) occurrence	100% C	100% R
Average rise or decline	29%	−17%
Standard & Poor's 500 change	8%	−3%
Days to ultimate high or low	153	50
How many change trend?	48%	33%

Days to ultimate high or low. I checked my speedometer and found that the drop after a downward breakout from a diamond is nearly twice as fast as the rise (upward breakout). So if you've ever wondered why you lose so much so quickly when price drops, now you know.

How many change trend? I consider values for upward breakouts above 50% to be good, but diamond tops fall short of that goal. Just 48% see price climb more than 20% after the breakout. Downward breakouts, however, exceed the 28% average for most other chart pattern types by a handy amount.

Table 24.3 shows failure rates for diamond tops under varying breakout directions.

How do you make sense of the numbers? The table shows how likely it is that your pattern may fail to rise or drop a given amount. For example, in bull markets, 21% of the diamonds with upward breakouts failed to see price rise more than 5%. Thirty-seven percent failed to see price climb more than 10%. Similarly, 15% of the patterns in bull markets with a downward breakout failed to see price drop more than 5%.

For small moves (up to 15%), diamonds with downward breakouts are the best bets. They have the lowest failure rates. This changes for moves 15% and higher. For large moves, patterns in bull markets with upward breakouts show smaller failure rates.

Table 24.4 shows breakout-related statistics.